

STRATEGIC MACRO ANALYSIS

Indonesia Macroeconomic Outlook 2025–2026

Trump Policy Shocks, Treasury Transmission & Market Dynamics

Fithra Faisal Hastiadi, PhD

Senior Macro Strategist, Samuel Sekuritas Indonesia

Executive Summary

GDP PROJECTIONS

5.05% → 5.10%

Base case growth 2025–2026

TRUMP SHOCK VARIANCE

39%

UST 10Y variance explained

GEOPOLITICAL RISK

4.50%–4.65%

GDP under combined crisis

BOND YIELD IMPACT

+45 bps

Indonesian bond yield increase

IDR DEPRECIATION

+2.8%

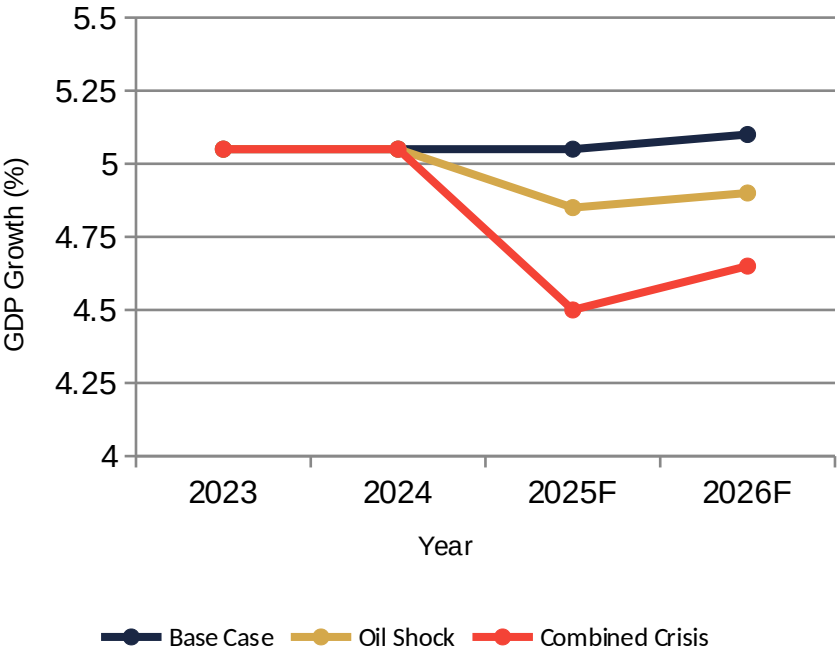
Expected IDR weakness from shocks

GDP DRAG

–0.3 to –0.5 pp

Growth impact from shocks

GDP Growth Projections



BASE CASE SCENARIO

Stable global conditions, reform momentum

5.05% **5.10%**

2025F

2026F

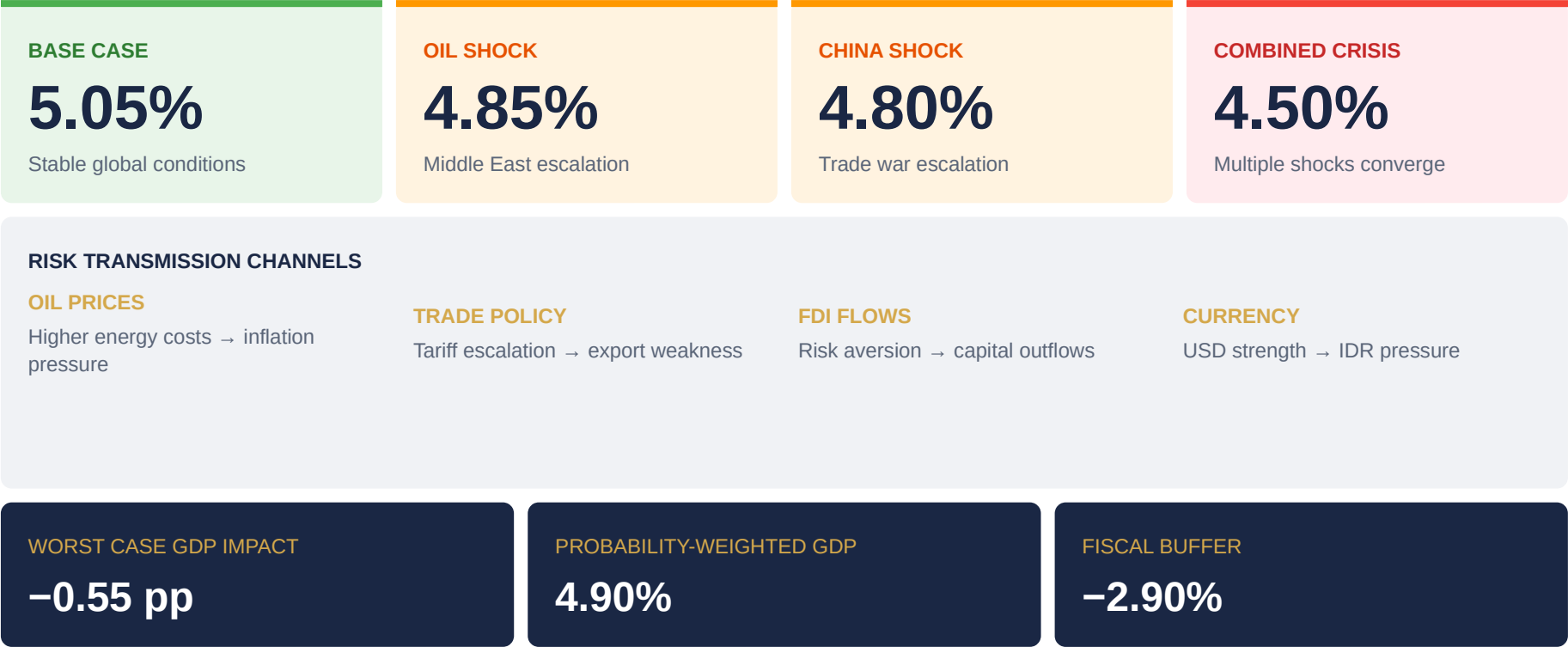
KEY DRIVERS

- Domestic consumption resilience
- Danantara investment pipeline
- Commodity price stabilization
- Free meals program multiplier

INFLATION TARGET

3.00% (2026F)

Geopolitical Risk Scenarios



Source: VAR scenario analysis, Samuel Sekuritas Indonesia

Trump Policy Transmission Mechanism

CENTRAL THESIS

Elevated US 10-Year Treasury yields trigger Trump policy interventions. Aggressive responses create two-phase market dynamics with significant spillover to emerging markets.

KEY POLICY EVENTS (2025–2026)

APR 2025

Liberation Day Tariffs

Broad tariff implementation

JAN 2026

Venezuela Operation

Military intervention risk

ONGOING

DOJ Subpoena on Powell

Fed independence pressure

PHASE 1: FLIGHT TO SAFETY

–15 to –30 bps

Initial UST yield decline as risk aversion spikes

PHASE 2: REVERSAL

+40 to +65 bps

Yields spike on inflation and fiscal concerns

Indonesia: Macro Transmission Effects



USD/IDR DEPRECIATION

+2.8%

Exchange rate pressure from outflows

IDR 16,850

BOND YIELD IMPACT

+45 bps

Indonesian bond yield increase

~7.00%

GDP GROWTH DRAG

-0.3 to -0.5 pp

Real GDP impact

~4.75%

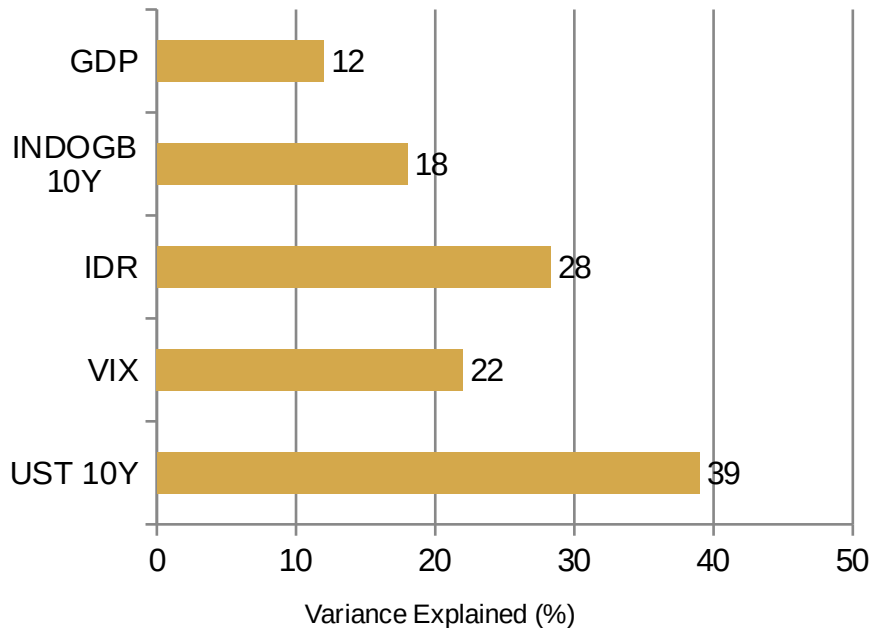
BANK INDONESIA POLICY RESPONSE

BI rate held at 4.75% with limited room for cuts. FX reserves: \$150.1bn (6.2 months import cover).

BI RATE

4.75%

Variance Decomposition Analysis



TRUMP SHOCK EXPLAINS

39%

UST 10Y Variance

28.3%

IDR Variance

KEY IMPLICATIONS

1. Trump policy uncertainty is now a dominant driver of US Treasury volatility
2. IDR significantly exposed to US policy shocks via capital flows
3. Traditional EM fundamentals less predictive of FX moves

MODEL SPECIFICATION

VAR with AIC lag selection. Cholesky ordering: Trump Shock → UST10Y → VIX → IDR → INDOGB10Y

R² EXPLAINED

0.72

IRF HORIZON

24mo

Market Outlook 2026: Key Indicators

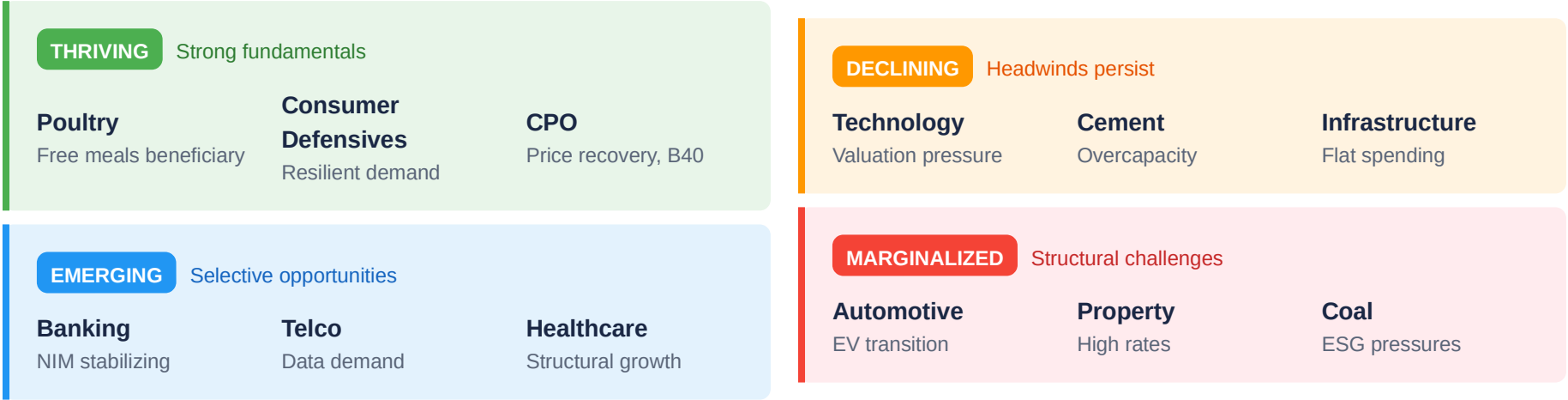
GDP GROWTH 5.10% 2026F Base Case	INFLATION 3.00% Within BI target	FISCAL DEFICIT -2.90% % of GDP	USD/IDR 16,850 Year-end target
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CURRENT ECONOMIC PULSE				
Consumer Confidence	Manufacturing PMI	Current Inflation	Trade Surplus	FX Reserves
124.0	53.3	2.72%	\$4.34bn	\$150.1bn

CURRENT ACCOUNT 3Q25: +\$4.0bn (1.1% GDP) First positive since 1Q23	EXPORTS Sep-25: +11.41% YoY Commodity supportive	FX RESERVE RATIO 10% of GDP Lowest in ASEAN	IMPORT COVER 6.2 months Limited buffer
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POLITICAL RISK: GROWTH CREDIBILITY GAP Prabowo's 8% GDP promise vs 5% reality. Corruption index: 37 in 2024.	8% → 5%
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Sector Performance Matrix 2026



INVESTMENT STRATEGY

OW domestic consumption and Danantara beneficiaries. UW export-oriented and rate-sensitive sectors.

OW: Consumer, Banks

UW: Property, Coal

Danantara & Fiscal Initiatives



Source: Ministry of Finance, Danantara, BNPB

Key Risks & Structural Challenges

EXTERNAL RISKS		DOMESTIC CHALLENGES	
EXTERNAL RISKS	Trump Policy Volatility Tariff escalation, Fed pressure. 39% UST variance.	DOMESTIC CHALLENGES	Online Gambling Drain IDR 1.2tn outflow in 2025F. Diverts spending.
	USD Strength & Capital Flows Higher-for-longer rates drive EM outflows.		Labor Market Stress 43,503 layoffs in 7M25 (+32% YoY).
	China Slowdown Largest trade partner. Hits exports and commodities.		Consumer Downtrading Middle class pressure. Shift to lower prices.
	Commodity Volatility Coal, CPO, nickel subject to ESG transitions.		Fiscal Risks Tax amnesty III, commodity taxes, program funding.
STRENGTHS Danantara, demand, C/A		OPPORTUNITIES BRICS, diversification	
WEAKNESSES IDR, deficits, FX/GDP		THREATS Tax amnesty, corruption	

Conclusion & Investment Implications

KEY TAKEAWAYS 5.05% Base GDP 2025, 5.10% in 2026. Below 8% target. 39% Trump policy explains UST10Y variance—dominant driver. IDR 16,850 Year-end target with 2.8% depreciation risk.		
OVERWEIGHT Consumer Defensives Resilient demand, free meals beneficiaries Select Banks NIM stability, loan growth resumption	NEUTRAL Telco & Healthcare Structural growth but valuation concerns Commodities (ex-Coal) Selective CPO, nickel exposure	UNDERWEIGHT Property & Infrastructure High rates, IKN delays, flat budgets Coal & Automotive ESG headwinds, structural decline
2026 OUTLOOK Indonesia enters 2026 with solid domestic fundamentals but elevated external vulnerability. Focus on quality balance sheets, domestic consumption exposure, and policy beneficiaries. Maintain defensive positioning until Trump policy uncertainty subsides.		

THANK YOU

Questions & Discussion

Fithra Faisal Hastiadi, PhD

Senior Macro Strategist
Samuel Sekuritas Indonesia

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